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No. 95-1764

Supreme Court, U.S.
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In The

Supreme Court of the United States

October Term, 1996

SARATOGA FISHING CO.,

Petitioner,

vs.

J.M. MARTINAC & CO.;
MARCO SEATTLE, INC.,

Respondents.

On Writ Of Certiorari
To The United States Court Of Appeals
For The Ninth Circuit

RESPONDENTS' BRIEF

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QUESTIONS PRESENTED

1. Does a rule precluding tort recovery for loss of property acquired by a purchaser in a commercial sale transaction appropriately serve the goal of preserving the role of contract in maritime commerce?

2. Is the consequential loss of property produced by a product acquired in a commercial transaction, representing failure of the expected performance of the product, an economic loss for which tort recovery should be denied?

THE PARTIES

J. M. Martinac & Co. ("Martinac") is a privately held Washington corporation.

Marco Seattle, Inc. ("Marco") is a Washington corporation wholly owned by Marine Construction & Design Co., Inc., a privately held Washington corporation.

Saratoga Fishing Company, Inc. ("Saratoga"), was a privately held California corporation which has since formally dissolved, but retains the legal authority to litigate this matter under California Corporations Code § 2010.

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I. OPINIONS BELOW

The opinion of the Ninth Circuit Court of Appeals in this matter was filed on October 26, 1996, (Appx. 4a-41a)[1] and is reported at 69 F.3d 1432 (9th Cir. 1995). Neither the District Court's Findings on Liability (Appx. 114a-172a), nor its Findings on Damages (Appx. 173a-185a) are reported. Both the original opinion of the Ninth Circuit Court of Appeals filed April 25, 1995 (Appx. 43a-78a), and the modified opinion filed August 4, 1996 (Appx. 79a-113a) were withdrawn from publication by the Ninth Circuit.

II. JURISDICTION

The Ninth Circuit Court of Appeals entered its order denying the motion for rehearing made by the Petitioner, Saratoga Fishing Company ("Saratoga"), on January 30, 1996. (Appx. 1a) Saratoga filed its Petition for Writ of Certiorari on April 29, 1996. This Court granted certiorari on October 15, 1996. The jurisdiction of this Court is invoked under 28 U.S.C. § 1254(1). The jurisdiction of the District Court was predicated upon the admiralty jurisdiction of the federal courts under 28 U.S.C. § 1333.

III. STATEMENT OF THE CASE

This case arises from the sinking of the M/V Saratoga, a 191 foot steel-hull tuna-seining vessel. The M/V

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[1] References to the appendix, or "Appx." are to Petitioner's Petition for Writ of Certiorari. The Court previously entered an order permitting Petitioner to dispense with preparation of a separate appendix.

Saratoga was in service for fourteen years before she suffered a catastrophic hydraulic failure, burned and sank. The fire started when a major hydraulic supply hose, previously known by the captain and chief engineer to be leaking, burst during fishing operations. The hose was a replacement hose of unknown quality, specification and installation.

This action proceeded to trial on a product liability theory. The District Court found that this loss was caused in major part by poor maintenance, extensive modifications to the hydraulics system, and the careless actions of the Captain and Chief Engineer which the court found "borders on irresponsible conduct." (FL 143, 155, 167, Appx. 164a, 168a, 171a.)[2] Nevertheless, the Respondents were held 1/3 at fault for the loss.

The M/V Saratoga was a "fishing machine" comprised of the thousands of components necessary to locate, harvest, store, transport and deliver a "catch" of tuna. To accomplish this mission, a tuna seiner *must* carry and utilize a purse seine net, a skiff and other fishing equipment necessary to capture and bring the tuna aboard, where it is frozen in super-cooled brine during the journey to market. If any of the critical components of this "fishing machine" fails to perform, the vessel owner is either unable to catch tuna, unable to effectively store the catch, or unable to transport the catch to market; and is thereby unable to sell raw tuna for a profit.

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[2] For the convenience of the Court references include the numbers of the Trial Court's "Findings on Liability" ("FL") or "Findings on Damages" ("FD"), as well as to the Petitioner's Appendix ("Appx.").

The purse seine tuna fishing method was developed during the late 1950's and early 1960's. Previously, tuna fishing involved the use of small, wooden-hull "bait boats," so-called because the tuna were caught using fishing poles and bait. In the late 1950's, a few tuna fishing vessel owners began pioneering the use of the "purse seine" method of harvesting tuna, whereby a purse seine net is dropped into the water, with one end attached to a skiff.[3] The skiff then remains stationary while the tuna seiner comes about, deploying the rest of the net to encircle a school of tuna. The tuna seiner circles back to the skiff, where the two ends of the net are joined, and the bottom of the net is closed, thereby trapping the tuna. (FL 2, Appx. 118a; Testimony, Trial Transcript Vol. X, pp. 49-54)

At first, bait boat owners took their wooden bait boats to small shipyards to be refitted to carry a skiff, a net, and the hydraulic winch, boom, and other equipment necessary to deploy and retrieve the net. Because the vessel owners, and not the shipyards, developed this new fishing method, the vessel owners largely directed the retrofitting procedures. Inevitably, as the related equipment became bigger, heavier, and more powerful, the wooden bait boats proved to be too small a platform, and larger steel-hull vessels were needed to carry the new equipment, and the record harvests being netted. These

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[3] A skiff is a motor craft which, when not in use, rides "piggyback" on the stern ramp of the mother ship. The skiff serves the dual purposes of holding one end of the net while the net is deployed by the mother ship around a fish school, and as the mother ship's life boat.

vessel owners were the driving force behind the evolution to a completely new class of fishing vessel specially designed for the needs of modern tuna seining, capable of traveling great distances, carrying heavy power equipment, and properly processing and storing the resulting catch so that the tuna would be fit for human consumption at the end of a long voyage. (Testimony, Trial Transcript Vol. X, pp. 49-54)

A handful of small shipyards, including J.M. Martinac & Co. ("Martinac"), began custom building steel hull tuna seiners to order for vessel owners in the 1960's. (Testimony, Trial Transcript Vol. X, pp. 52-53) By 1971, when the M/V Saratoga was built, the construction of each Martinac tuna seiner was still a product of detailed collaboration between shipowner and shipyard, with the shipowner selecting and approving the selection of various components and their physical arrangement aboard a vessel.[4] (Testimony, Trial Transcript Vol. X, pp. 55-60)

Joseph Madruga ("Madruga") was one of the pioneers of modern tuna-seining, first using converted bait boats, and then commissioning construction of the new steel hull seiners. (FL 1, Appx. 118a.) Saratoga's contention notwithstanding (Petitioner's Brief, p. 14), Madruga was decidedly *not* an unsophisticated consumer

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[4] The statement by Saratoga that " Martinac and Marco sold the boat to Madruga is not accurate. Madruga contracted with Martinac for construction of the vessel (*Trial Ex. A*, Trial Transcript Vol. X, pp. 72, 74). Certain Marco brand hydraulic machinery was specified for inclusion on the vessel (*Trial Ex. B*, Trial Transcript Vol. X, pp. 72, 74). Marco was a vendor to Martinac, but was not a party to the sale of the vessel by Martinac to Madruga.

lacking the economic power to bargain for product specifications or allocation of risk through warranty. The M/V Saratoga was the third of *seven* steel hull tuna seiners which Madruga commissioned from Martinac, the purchase price of the M/V Saratoga being $2,200,000. (Testimony, Trial Transcript Vol. X, pp. 70:10-20; Trial Ex. A, Trial Transcript Vol. X, pp. 72, 74) Madruga negotiated with Martinac over the specifications and equipment for the M/V Saratoga. (Testimony, Trial Transcript Vol. X, pp. 72-73:12-16) Additionally, both Madruga and an engineer he employed to supervise construction were at the shipyard during construction of the M/V Saratoga and ordered numerous changes to the vessel during the course of construction. (Testimony, Trial Transcript Vol. X, pp. 81:17-25, 84-87)

The contract between Madruga and Martinac provided a six-month limited warranty that the vessel and her components were of merchantable quality and properly installed. All other warranties were expressly disclaimed. (Trial Ex. A, Trial Transcript Vol. X, pp. 72, 74.)

As delivered by Martinac, in accordance with the contract, the M/V Saratoga was *not* complete or able to operate as a tuna seiner. Madruga bargained for the M/V Saratoga to be delivered as an incomplete fishing vessel requiring the separate purchase of a net, skiff, speedboats[5] and other miscellaneous equipment including

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[5] At this time tuna seiners operating in the eastern tropical Pacific carried a number of small speedboats to "round up" porpoise, much like cowboys round up cattle. Once the porpoise (and the tuna, which follow the porpoise) are rounded up, the tuna seiner encircles the porpoise and tuna with the seine net.

navigational and communications electronics. (FL 9, Appx. 121a; FD 2, Appx. 175a-176a.) The District Court found the value of these items at the time of loss to be $484,905. (FD 17, Appx. 184a.) Only after Madruga completed assembly of the M/V Saratoga as a "fishing machine" by adding these items was she able to put to sea to accomplish the mission for which Martinac had begun the assembly of her components. (FL 9, Appx. 121a.)

In March, 1974, Saratoga purchased the completed, fully outfitted M/V Saratoga from Madruga's corporation for $2,950,000 thereby earning Madruga's corporation a substantial profit. (Trial Ex. Z, Trial Transcript Vol. VII, pp. 13, 19) The transaction between Saratoga and Madruga thus represents the *first* time that the M/V Saratoga was sold as a completed fishing vessel capable of performing its mission. Saratoga bought the M/V Saratoga as a complete, integrated unit including all of the items which Saratoga claims are "other property," except for the ship's lost tuna catch. (FL 11, 12, Appx. 121a, 122a.) There is no dispute that sale of the M/V Saratoga from Madruga's corporation to Saratoga was a business transaction between commercial entities; and that the object of Saratoga's bargain was a fully integrated, operational tuna seiner, including everything necessary to conduct fishing operations. Saratoga bought the vessel "as is, where is," with no warranty other than that "said vessel and her appurtenances will be in operable condition upon delivery of the Bill of Sale." (Trial Ex. Z, Trial Transcript Vol. VII, pp. 13, 19) Presumably, the disclaimer of warranties on the vessel and all of her appurtenances was in exchange for a lower purchase price than would

have been charged if Madruga had included extensive warranties.

The M/V Saratoga burned and sank on January 16-17, 1986,[6] along with all of the property acquired by Saratoga from Madruga, except for the skiff, which was deliberately scuttled after the crew of the M/V Saratoga were rescued.[7] Saratoga also lost the expected performance of the vessel – the catch of tuna aboard. Because the vessel sank before it was able to deliver the catch in proper condition to the cannery for sale, Saratoga lost the profit it expected to receive when it originally purchased the vessel.

IV. SUMMARY OF ARGUMENT

By looking to the object of Saratoga's bargain and denying tort recovery for direct loss of the physical property acquired as part of Saratoga's bargain, the Ninth Circuit properly applied the economic loss rule adopted in *East River S.S. Corp. v. Transamerica Delaval, Inc.*, 476 U.S. 858 (1986). Adoption of the economic loss rule in *East River* represents a policy-based preference for rules

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[6] Contrary to Saratoga's assertion, it is not true that "The crew just managed to get off the ship into the skiff before the vessel sank." (Petitioner's Brief at pp. 2-3) Rather, the crew abandoned the vessel 10-20 minutes after the fire began, and were picked up approximately three hours later by another vessel. The M/V Saratoga finally sank the next morning, approximately 14 hours after the fire began. (FL 16, 17, 79, Appx. 123a, 142a.)

[7] The skiff aboard at the time of loss was a replacement for the skiff acquired with the vessel in 1974.

of contract and risk allocation methods, including insurance, which have long acceptance in maritime commerce. To permit tort recovery for failed contractual expectations in a commercial setting would be to extend tort recovery beyond its intended purpose, which is to afford a remedy to injured consumers, without the ability to negotiate product specifications or risk of loss, forced to rely on manufacturers for product needs. In product liability parlance, application of tort principles in commercial cases where these policies are not furthered, is "misuse."

The economic loss rule represents a contract approach which sets the boundary on tort recovery in commercial cases by excluding direct loss of the physical object of a purchaser's bargain, and indirect consequential losses, because the risk of commercial loss is understood to have been the subject of the parties' negotiation and bargain. These losses must be recovered, if at all, under contract law. This contract approach protects and enforces the contractual risk allocations of the commercial parties, as well as all other parties in the commercial chain of manufacture, distribution and sale, thereby preserving uniformity and predictability in maritime commerce.

The tort approach advanced by Petitioner would respect the parties' contractual risk allocation only to the extent of the "product" first sold to a "user." Any components added or associated thereafter would be "other property" recoverable in tort, even when these additional components are a major part of the plaintiff's bargain. Since Petitioner's tort approach does not focus on the plaintiff's bargain, its application will necessarily nullify voluntary risk allocation methods long employed

in maritime commerce. In turn, commercial actors will find difficulty structuring their business behavior and will additionally find themselves exposed to indeterminate tort liability. In an effort to reign-in such tort liability, courts applying maritime law will be forced to engage in the difficult line-drawing which the Court sought to avoid in *East River*.

The economic loss rule simply means that in commercial settings, where it is presumed that all parties have the ability and motivation to bargain for risk allocation, "a bargain is a bargain." Since commercial parties can negotiate their rights and remedies, any remedy for loss-of-bargain must itself be bargained for. Otherwise, judicial assistance to the party who failed to bargain for its own protection, will result in disruption of the voluntary risk allocation achieved by the parties. While the Ninth Circuit correctly looked to the object of Petitioner's commercial bargain to determine the economic loss, it stopped short in its analysis by failing to consider that Petitioner's lost tuna catch, a direct result of the failure of Petitioner's commercial purchase to perform as expected, also represented "insufficient product value." Two Fifth Circuit maritime cases and numerous state court decisions applying the economic loss rule would deny tort recovery for the lost fish catch as a failed contract expectancy. In order to give effect to the policy choices underlying the economic loss rule, and in the interests of predictability and uniformity in maritime law, the decision awarding tort damages for loss of the tuna catch must be reversed.

V. ARGUMENT

A. The remedy for loss of the benefit of a commercial maritime bargain lies only in contract.

This case involves application of the economic loss rule adopted by this Court in *East River, supra,* 476 U.S. 858, which states the proposition that loss of a commercial bargain occasioned by product failure is not compensable in tort. This includes loss of the product itself and consequential economic losses for which contract law provide a recovery. The disappointed commercial purchaser's remedy arises from the consensual nature of the commercial relationship, and has its genesis in the purchaser's bargain. "The character of a loss determines the appropriate remedies, and, to determine the character of the loss, one must look to the product purchased by the plaintiff, not the product sold by the defendants." *Pulte Home Corp. v. Osmose Wood Preserving, Inc.*, 60 F.3d 734, 741 (11th Cir. 1995), *citing King v. Hilton-Davis,* 855 F.2d 1047 (3rd Cir. 1988), *cert. denied,* 488 U.S. 1030 (1989). Thus, if the failed "product" was acquired in a commercial relationship, an upstream seller has no tort liability for: (a) loss of the object of the commercial purchaser's bargain (often termed "the product"), or for (b) consequential economic losses susceptible of contract recovery.

The economic loss rule serves to protect the marine industry's expectation that voluntarily risk allocations will be honored. In *East River* this Court recognized that "the main currents of tort law run in different directions from those of contract and warranty . . . " (476 U.S. at 873, n.8) and that "if this development *[of products liability in a commercial context]* were allowed to progress too far, contract law would drown in a sea of tort." 476 U.S. at 867. The economic loss rule recognizes the "need to keep products liability and contract law in separate spheres and to maintain a realistic limitation on damages." 476 U.S. at 871. *East River* affirmed that contract law is supreme in commercial intercourse, and that tort does not provide an optional legal regime for the disappointed commercial purchaser who could have bargained for a contractual remedy for the loss suffered.

Within maritime commerce, the challenge to the body of contract law presented by ever-expanding tort liability is so great, and the need for appropriate, predictable limitations on damages so compelling, that this Court did not limit application of the economic loss rule to situations where the purchaser *actually has* a contract remedy that would be displaced by a tort remedy. Although the disappointed charterers in *East River* were without a contract remedy (like Saratoga, they specifically took the ship "as is"), the Court saw "no reason to extricate the parties from their bargain." 476 U.S. at 875. With elegant simplicity *East River* teaches: "a bargain is a bargain!"

While Saratoga's Brief pays lip service to the "clear delineation" of the separate spheres of contract and tort, Saratoga fails to recognize that implementation of the economic loss rule requires identifying the disappointed commercial purchaser's bargain, and then limiting the purchaser to bargained-for remedies for expectancy losses. This "pure" contract approach follows from the proposition that contract and warranty rules are better suited than tort for the resolution of commercial controversies involving failed contractual expectations. As this

Court remarked: "[W]arranty law sufficiently protects the purchaser by allowing it to obtain the benefit of its bargain." 476 U.S. at 873.

Drawing only upon tort principles, Saratoga proposes to define "the product" as either (a) what was originally sold to the first user of the product; or (b) what the last "402A Seller" in the chain of distribution sold. Saratoga's Brief is not clear as to which particular definition it favors and offers no discussion as to the reasons that might support one approach over the other. Similarly, the *amicus* brief of All Alaskan Seafoods provides no guidance or rationale. Both Saratoga and All Alaskan Seafoods seem to be asking this Court to retreat from *East River* and allow tort concepts to control application of contract principles, all under the guise of implementing the economic loss rule applied by *East River*. As discussed *infra*, the result will be greater confusion in the law and blurring of the distinction between tort and contract.

Saratoga's approach is to artificially apply a tort-based definition of the "product" to implement a rule which is intended to exclude tort recovery for loss-of-bargain. The result is an arbitrary "product" / "other property" distinction which has no relationship to the purchaser's bargain, or to the public policy goal of preserving voluntary contractual risk allocations. In practice, this means that a *portion* of a commercial purchaser's bargain becomes compensable in tort (*i.e.*, the loss of that portion of the bargain which was *not* part of the first sale by a manufacturer or last sale by a "402A Seller"), while the loss of the rest of the purchaser's bargain (*i.e.*, whatever was neither encompassed by the original sale by a

manufacturer, nor the last sale by a "402A Seller") would *not* be compensable in tort. Saratoga's approach is incongruous if not irreconcilable with *East River*.

If only contractual remedies are permitted for loss of a commercial purchaser's bargain, there is no principled basis for artificially differentiating one segment of the purchaser's bargain from another with the application of tort concepts. The *only* basis for extending tort remedy into the realm of commercial contract should be some overriding public policy.[8] But where only loss of the benefit of a commercial bargain is involved, "the reasons for imposing a tort duty are weak and those for leaving the party to its contractual remedies are strong." 476 U.S. at 871. Moreover, as to those elements of a plaintiff's bargain which are arbitrarily deemed appropriate for tort recovery under the test suggested by Saratoga, the same problem exists that was identified in *East River*: tort law provides no realistic limitation on damages, making it difficult for manufacturers to structure their business behavior. 476 U.S. at 871, 874.

Saratoga complains that an economic loss rule which employs an "object of the bargain" analysis improperly determines a manufacturer's liability based on fortuity, *i.e.*, whether the manufacturer is "lucky enough" to have its product incorporated into another's product and then resold. The line between tort and warranty recovery for

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[8] The prime example being the tort remedy provided to the individual user or bystander injured as a result of the failure of a defective commercial product, who would have had no opportunity to secure warranty protection.

economic loss is *not* arbitrarily based on fortuity.[9] Saratoga's reasoning is fallacious, because liability (or lack thereof) under the economic loss doctrine does not hinge on the fortuity of prior sales, but rather, from the parties' conscious commercial choice, as evidenced by their contract.[10]

Ironically, Saratoga's *own* proposed rule would condition the availability of tort recovery to a commercial plaintiff on the fortuity of having property added to the product at some time subsequent to either the first sale to a user or the last sale by a "402A Seller," even though such other property was part of such plaintiff's bargain. Worse yet, a supplier of a single component would be liable under *Saratoga's* proposed regime for the loss of an entire vessel. Such liability would be predicated on the *misfortune* of having its component added to a vessel *after* the initial sale to a user, when such component could just

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[9] "The distinction that the law has drawn between tort recovery for physical injuries and warranty recovery for economic loss is not arbitrary and does not rest on the 'luck' of one plaintiff in having an accident causing physical injury." *476 U.S.* at 871, *citing Seely v. White Motor Co.*, 63 Cal.2d 9, 18 (1965). In this brief we use "contract" to include the modern commercial law of warranty, and to distinguish the basis for liability from claims founded purely in "tort" – the former arising from a consensual commercial relationship, and the latter from some misadventure bringing plaintiff and defendant together.

[10] In effect, Saratoga and its *amicus* are suggesting that a creative plaintiff is to be given a financial remedy by the judiciary "for free" which that same plaintiff declined to "buy" in the commercial transaction by which it acquired the product which failed.

as well have been "original equipment." Under Saratoga's proposed regime, the rest of the vessel is "other property" vis-a-vis the subsequently added component, even though the purchaser acquired the integrated package, including the new component, as part of the same commercial bargain. There is no valid reason to permit the tort invasion of commercial contract law presented by this novel and arbitrary approach, which is wholly unpredictable from the commercial seller's perspective.

B. The economic loss rule strikes a balance between the policies underlying product liability law and the traditional maritime law goals of uniformity and predictability.

"Products liability grew out of a public policy judgment that people need more protection from dangerous products than is afforded by the law of warranty." *476 U.S.* at 866, *citing Seely v. White Motor Co.*, 63 Cal.2d 9, 15 (1965). The reasons courts found warranty law afforded insufficient protection to consumers were: (1) consumers of off-the-shelf products generally lack the sophistication and economic power to effectively bargain as to the specifications of the product, or the risk of loss relating to use of a product, and are forced to rely on manufacturers to provide for their needs;[11] (2) the ability of consumers to effectively insure against product-related losses is uncertain, while manufacturers of mass-produced goods can readily insure against such losses, spreading the cost of

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[11] *See*, Restatement (Second) Torts § 402A, comment *c*.

such protection through slight product price increases;[12] and, (3) judicial displeasure with the lack of privity defense which defeated personal injury claims by consumers, end-users, bystanders, and others similarly situated.[13]

These reasons – developed in the consumer-mass-produced-goods context – have no application in commercial transactions, particularly transactions involving the construction and sale of commercial marine vessels. Specifications for commercial marine vessels are typically the subject of a negotiated contract between a shipyard and a sophisticated commercial purchaser.[14] Commercial maritime purchasers are not forced to rely on the manufacturer to fill their needs, and generally, as in this case, have the knowledge and the bargaining power to effectively negotiate the risk of loss. Commercial buyers are capable of gauging the risk and deciding whether to negotiate a product warranty or procure insurance.[15]

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[12] *Greenman v. Yuba Power Products, Inc.*, 59 Cal.2d 57, 63 (1963).

[13] *MacPherson v. Buick Motor Co.*, 217 N.Y. 382, 111 N.E. 1050 (1916). The *MacPherson* rule was tacitly recognized in an admiralty action in *Seas Shipping Co. v. Sieracki*, 328 U.S. 85 (1946).

[14] In the present case, while the negotiated contract was a mere 5 pages (Trial Ex. "A" Trial Transcript, Vol. X, pp. 72, 74), the basic specifications for the vessel negotiated between Martinac and Madruga are 108 pages in length. (Trial Ex. "B" Trial Transcript, Vol. X, pp. 72, 74.)

[15] The lack of essential purpose for applying product liability to commercial transactions has led some courts to develop rules excluding tort liability completely in certain commercial situations. In *Kaiser Steel Corp. v. Westinghouse Electric Corp.*, 55 Cal.App.3d 737, 748 (1976), the California

Commercial maritime concerns are almost universally insured. Indeed, Saratoga was insured for the very losses which are the subject of the underlying action. Maritime commerce decidedly does *not* involve the uncertainty as to the user's ability to procure insurance that motivated the creation of strict product liability to protect those acquiring goods for personal use or those suffering personal injuries from defective goods. The availability of insurance to commercial parties was a factor underlying the Court's decision not to disturb the charterers' bargain in *East River*, 476 U.S. at 871.

The commercial product-user has the ability to spread the cost of procuring such insurance through price adjustments for its own good or services. In many instances, the commercial purchaser's ability to spread the cost of insurance through the pricing of its own goods or services to the public may be superior to that of the seller of a commercial product. For example, commercial shipbuilders like Martinac do not produce sufficient numbers of vessels to permit efficient cost-spreading by

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Appellate Court held that product liability does not apply where commercial parties have bargained at arms' length, from positions of relatively equal bargaining power, over specifications and risk of loss, reasoning that in these commercial situations, "any societal interest in loss shifting is absent." A few states have reached the same end result by holding the Uniform Commerrcial Code preempts product liability in the commercial context. *See* cases collected in Annot., *Pre-emption of strict liability in tort by provisions of UCC Article 2*, 15 ALR4th 971. *See also*, H.W. Titus, *Restatement (Second) of Torts Section 402A and the Uniform Commercial Code*, 22 Stanford L. R. 713 (1970) for a historical discussion of the tension between § 402A and the UCC.

price increases which would not affect their competitiveness. Conversely, the cost of procuring insurance is a cost of doing business to commercial tuna fishermen, which is eventually and readily passed through to the millions of consumers of canned tuna in the form of minuscule price increases. The commercial user also often has far superior knowledge of the actual risks which the product will encounter and is in a far better position to quantify the risks and potential losses. For example, a substantial portion of the trial testimony in this case related to product misuse, inadequate vessel maintenance, major modifications to the vessel's hydraulic system, intentional disabling of safety devices, and so on,[16] all of this was initiated and controlled by Saratoga, but unknown to Martinac and Marco. It is also apparent that insurance is a far better – and ultimately fairer – method of risk transfer. Not only is the risk known to (or reasonably discoverable by) the insurer, it is quantified by insurance contract. In the present case, the insurance company required annual vessel inspections and dictated trading limits, periodic dry-docking, manning requirements, and otherwise acted to minimize the risk for which it accepted premium payments.[17] None of these options was available to Martinac or Marco.

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[16] *See generally,* FL 50-69, 131-143, 154-156, Appx. 133a-139a, 160a-164a, 167a-168a.

[17] *See* numerous annual insurance survey reports admitted as Trial Exs. 217, 220-233, 235-256, at Trial Transcript Vol. V, p. 106; *See also,* Tuna Boat Survey Requirements, Trial Ex. 215, Trial Transcript Vol. VI, p. 179, Vol. VII, p. 122.

Finally, the problem of lack of privity depriving a commercial product user of the ability to procure warranty protection is non-existent. Every commercial purchaser has a full range of contract options and an extensive body of commercial law exists for resolving controversies involving loss-of-bargain. Accordingly, an uncompensated commercial loss is the product of a rational economic choice by a commercial purchaser dealing at arms' length, rather than a result of non-options unilaterally imposed upon a powerless unsophisticated consumer.

Uniformity and predictability are core concerns of maritime law. *See, e.g., The Lottawanna,* 88 U.S. 556, 575 (1875). These concepts are promoted by allowing commercial parties the freedom to encounter the risks of the marketplace as they see fit based on rational economic decisions, and evidenced by their contracts and industry practices. Warranty and insurance afford commercial parties satisfactory means of obtaining redress for damage from a product failure. In maritime commerce, when only expectancy damages are sustained, there simply is no remedial gap to be filled by tort.

As a body of commercial law, maritime law should embrace and support the lawful practices of the commercial interests it serves, recognizing the realities of bargaining over risk of loss and insuring against commercial risks. This Court should reject the proposed rule which would endorse the *ex post facto* tort transfer of losses

sought in the name of Saratoga by its insurer who contractually bound itself to accept the precise risk encountered.[18]

The warranty provision of the typical vessel construction contract reflects an allocation of specified post-delivery risks as an integral part of the pricing process. This philosophy is found in other situations within the maritime context. *See, e.g., Carnival Cruise Lines v. Shute,* 499 U.S. 585, 592 (1991) (*the financial effect of forum selection and choice of law clauses likely will be reflected in the value of the contract as a whole*); *Roby v. Corporation of Lloyd's,* 996 F.2d 1353, 1363 (2d Cir. 1993). Such clauses reflect agreement as to which party will bear the cost of insurance, and for what period of time, *i.e.,* whether the ultimate risk of vessel loss shifts to the vessel owner's insurer from the shipbuilder's insurer.[19]

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[18] Respondents are not arguing for abrogation of subrogation, but simply that under the commercial circumstances of this case, there is no *bona fide* claim for the insurer to pursue.

[19] Several common law courts have explicitly approved contractual risk shifting between commercial parties. For example, allocation of the burden of purchasing insurance, as a *de facto* shifting of risk by contract, was discussed and succinctly upheld *in Delta Air Lines, Inc. v. Douglas Aircraft Company,* 238 Cal. App. 2d 95, 104-05 (1965): "In short, all that is herein involved is the question of which of two equal bargainers should bear the risk of economic loss if the product sold proved to be defective. Under the contract before us, Delta (or its insurance carrier, if any) bears that risk in return for a purchase price acceptable to it; had the clause been removed, the risk would have fallen on Douglas (or its insurance carrier, if any), but in return for an increased price deemed adequate by it to compensate for the risk assumed. We can see no reason why

While warranty and insurance provide commercial parties the predictable risk allocation solution needed to enable them "easily to structure their business behavior" (476 U.S. at 870), the tort-based approach advocated by Saratoga yields unpredictable hindsight-driven results and indeterminate damages. As this Court recognized in *East River,* 476 U.S. at 872-874:

> Contract law, and the law of warranty in particular, is well suited to commercial controversies of the sort involved in this case because the parties may set the terms of their own agreements. . . . A warranty action also has a built – in limitation on liability, whereas a tort action could subject the manufacturer to damages of an indefinite amount. The limitation in a contract action comes from the agreement of the parties and the requirement that consequential damages, such as lost profits, be a foreseeable result of the breach. . . . In products-liability law, where there is a duty to the public generally, foreseeability is an inadequate brake. (*Citations omitted*).

The *East River* approach emphasizing the supremacy of contract law over tort law in commercial application is in complete harmony with the policies underlying strict product liability, the public policy supporting freedom of

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Delta, having determined, as a matter of business judgment, that the price fixed justified assuming the risk of loss, should now be allowed to shift the risk so assumed to Douglas, which had neither agreed to assume it nor been compensated for such assumption." [*footnotes omitted*], cited with approval in *Delta Airlines, Inc. v. McDonnell Douglas Corp.,* 503 F.2d 239 (5th Cir. 1974), *cert. denied,* 421 U.S. 965 (1975) [*upholding exculpatory clause as to expense of repairing collapsed nosegear*].

contract in commercial relations, and the reality of insurance in maritime commerce. Since the policies underlying strict product liability are not served by its application in the commercial realm, the parties are best left to their contracted-for remedies, if any, or risk transfer through insurance.

C. Saratoga seeks to emasculate *East River's* widely-accepted economic loss rule, which looks to the object of the commercial plaintiff's bargain to define the exclusive sphere of contract.

East River is based on the premise that products liability law must not be allowed to distort the contractual arrangements the commercial parties have negotiated. To avoid overriding commercial parties' voluntary risk allocation as expressed in their contract, the Court necessarily focused on the charterers' bargain and refused to allow tort recovery for their loss of that bargain, even though the charterers had no warranty remedy available. 476 U.S. at 875.

The preference stated in *East River* for contractual over tort remedies in commercial disputes involving failed contract expectations has been unanimously accepted by federal courts sitting in admiralty,[20] state

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[20] *Shipco 2295, Inc. v. Avondale Shipyards, Inc.*, 825 F.2d 925, *cert. denied*, 485 U.S. 1007 (1987); *Nicor Supply Ships Associates v. General Motors*, 876 F.2d 501 (5th Cir. 1989); *McConnell v. Caterpillar Tractor Co.*, 646 F.Supp. 1520 (D. N.J. 1986); *Petroleum Helicopters, Inc. v. Avco Corp.*, 930 F.2d 389, 391-393 (5th Cir. 1991); *McDermott, Inc. v. Clyde Iron*, 979 F.2d 1068, 1078 (5th Cir. 1992), *rev'd on other grounds*, 511 U.S. 202 (1994); *Exxon Shipping Company v. Pacific Resources, Inc.*, 835 F.Supp. 1195, 1201-1202 (D. Hawaii 1993); *Saratoga Fishing Co. v. Marco Seattle, Inc.*, 69 F.3d 1432 (9th Cir. 1995); *Karshan v. Mattituck Inlet Marina & Shipyard, Inc.*, 785 F.Supp. 363, 364 (E.D.N.Y. 1992)

courts applying maritime law,[21] and widely embraced by both federal and state courts applying state product liability law.[22]

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[21] *Stanton v. Bayliner Marine Corp.*, 123 Wash.2d 64 (1993), *cert. denied*, ___ U.S. ___, 115 S.Ct. 78 (1994); *Lewinter v. Genmar, Inc.*, 26 Cal.App.4th 1214 (1994).

[22] Ironically, while the Court in *East River* recognized incorporation into the general maritime law of the common law product liability principles, the common law has, in the wake of *East River*, reciprocated. An overwhelming number of courts and jurisdictions have adopted the holding and reasoning of *East River* to state products liability law. *See, e.g., International Ore & Fertilizer Corp. v. SGS Control Services, Inc.*, 38 F.3d 1279, 1283-1284 (2d Cir. 1994), *cert. denied*, 115 S. Ct. 2276 (1995) (New York law); *Rocky Mountain Helicopters, Inc. v. Bell Helicopter Textron, Inc.*, 24 F.3d 125, 129-130 (10th Cir. 1994) (Texas law); *Hininger v. Case Corp.*, 23 F.3d 124, 125-127 (5th Cir. 1994) (Texas, Illinois, and Idaho law all follow economic loss rule); *Miller's Bottled Gas, Inc. v. Borg-Warner Corp.*, 955 F.2d 1043, 1050 (6th Cir. 1992) (Kentucky law); *Miller v. U.S. Steel Corp.*, 902 F.2d 573, 574-575 (7th Cir. 1990) (Wisconsin law); *Aloe Coal Co. v. Clark Equip. Co.*, 816 F.2d 110 (3d Cir. 1987), *cert. denied*, 484 U.S. 853 (1987) (Pennsylvania law); *2000 Watermark Ass'n., Inc. v. Celotex*, 784 F.2d 1183, 1185-1187 (4th Cir. 1985) (South Carolina law); *Bocre Leasing Corp. v. General Motors Corp.*, 840 F. Supp. 231, 234 (E.D.N.Y. 1994), *questions certified*, 20 F.3d 66 (2d Cir. 1994), *certified questions answered*, 645 N.E.2d 1195 (N.Y. 1995) (New York law); *Canal Elec. Co. v. Westinghouse Elec. Corp.*, 756 F. Supp. 620, 629-630 (D. Mass. 1990) (Massachusetts law); *PPG Indus. Inc. v. Sundstrand Corp.*, 681 F. Supp. 287, 291 (W.D. Pa. 1988) (declining to choose which state law applies, since California, Illinois, North Carolina and Pennsylvania would all follow

The Fifth Circuit in *Shipco 2295, Inc. v. Avondale Shipyards, Inc.*, 825 F.2d 925, *cert. denied*, 485 U.S. 1007 (1987) applied an "object of the bargain" test, emphasizing that a purchaser bargains for a finished product, not for the various components that comprise the product:

> In attempting to identify the product, our analysis leads us to ask what is the object of the contract or bargain that governs the right of the parties? The completed vessels were obviously the objects of the contract. [*Plaintiff*] Shipco did not bargain separately for the individual components of each vessel. We are persuaded that those same vessels that were the object of the contract must be considered "the product" rather than the individual components that make up the vessels. 825 F.2d at 928 (*footnote omitted*).

Saratoga attempts to distinguish *Shipco* by likening the Madruga-Saratoga sale transaction to a sale between consumers of a used Oldsmobile with toys, a child seat, and a tool box in the trunk. (Petitioner's Brief, p. 30 n. 7.) The comparison is not apt. The relevant transaction in this case was commercial, and *East River* spoke directly to the absence of tort recovery for loss of a commercial bargain. *Shipco* merely restated that the best way to apply the economic loss rule is to look at the object of the parties' bargain. In the present case, the equipment added to the M/V Saratoga was both critical to the ability of the

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economic loss rule set forth in *East River*); *Richard O'Brien Cos. v. Challenge-Cook Bros., Inc.*, 672 F. Supp. 466, 471-473 (D. Colo. 1987) (Colorado law); *Utah Int'l., Inc. v. Caterpillar Tractor Co.*, 108 N.M. 539, 541-542, (Ct. App.), *cert. denied*, 108 N.M. 354 (1989) (New Mexico law).

vessel to fulfill its mission, and an integral part of Saratoga's bargain.

Saratoga has cited a number of cases involving asbestos contamination, arguing that they reject the "object of the bargain" approach. These cases do not support abandonment of the bargain-based approach in commercial maritime cases. The asbestos cases involve application of state law, not maritime law, and they take an approach similar to the "intermediate" approach to products liability which was specifically rejected in *East River*, 476 U.S. at 869-870. Finally, the asbestos cases are uniquely result-driven, given the great public health hazard posed by asbestos. In short, *sui generis* asbestos cases are irreconcilable with the approach taken by *East River*, by the Fifth Circuit, by the Ninth Circuit, and by the great weight of maritime and common law authority.

Two subsequent Fifth Circuit decisions have reaffirmed the "object of the plaintiff's bargain" approach in maritime cases. In *Petroleum Helicopters, Inc. v. Avco Corp.*, 930 F.2d 389, 391-393 (5th Cir 1991), plaintiff bought a helicopter equipped with floats for water landings, then removed the floats and placed them on another helicopter plaintiff owned. The floats malfunctioned, causing the loss of the plaintiff's "other" helicopter that was not part of plaintiff's purchase of the floats. In defining "the product" the Fifth Circuit looked to the *nature* of plaintiff's bargain, agreeing that plaintiff "bargained for" a complete float/helicopter package and that the lost helicopter was to be considered part of "the product."[23] The court in

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[23] *See also, Exxon Shipping Company v. Pacific Resources, Inc.*, 835 F.Supp. 1195, 1201-1202 (D. Hawaii 1993) where the court

McDermott, Inc. v. Clyde Iron, 979 F.2d 1068, 1078 (5th Cir. 1992), *rev'd on other grounds*, 511 U.S. 202 (1994), also focused on the object of the plaintiff's contract to define "the product."

The other cases that have addressed this issue have uniformly held that "the product" is the finished product purchased by the plaintiffs, rather than a component part, even if that component part malfunctioned and caused the product failure.[24]

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stated: "[T]he analysis in the 'object of the bargain' test is more than a mechanical or formalistic determination of whether the injuring and injured components were sold under the umbrella of the same contract. In *Petroleum Helicopters*, they plainly were not. Instead, the court focused on the fact that the objects of the parties' bargain were the entire helicopter." The result in *Exxon Shipping* was that various components purchased separately by plaintiff under separate contracts but used as a functional unit were all considered "the product."

[24] *See, e.g., American Eagle Ins. Co. v. United Technologies Corp.*, 48 F.3d 142, 145 (airplane engine considered part of airplane "product"); *King v. Hilton-Davis*, 855 F.2d 1047, 1051-1052 (3d Cir. 1988) (sprout suppressant considered part of seed potato "product"); *American Home Assurance Co. v. Major Tool and Machine, Inc.*, 767 F.2d 446, 447-448 (8th Cir. 1985) (turbine components considered part of turbine "product"); *Exxon Shipping Co. v. Pacific Resources, Inc.*, 835 F.Supp. 1195, 1201-1202 (D. Hawaii 1993) (chaffing chain considered part of mooring system "product"); *Karshan v. Mattituck Inlet Marina & Shipyard, Inc.*, 785 F. Supp. 363, 364 n.1 (E.D.N.Y. 1992) (shore power connector part of entire vessel "product"); *ERA Helicopters, Inc. v. Bell Helicopter Textron, Inc.*, 696 F.Supp. 1096 (E.D. La. 1987) (component helicopter engine part of helicopter "product").

The Ninth Circuit below followed *East River*, its Fifth Circuit progeny, and the great weight of common law authority by examining the object of Saratoga's commercial bargain with Madruga to determine "the product":

> We are guided by the policies set forth in *East River*, where the Court stated that the focus of the product should be on the failure of the purchaser to receive the benefit of its bargain. Warranty and contract law are appropriate for this type of situation. Here, the purchaser is [*plaintiff*] Saratoga Fishing and the object of its bargain was the M/V Saratoga with the components already installed. Appx. 34a.

The "components" referenced by the Ninth Circuit were the vessel's net, skiff, speedboats, fuel, and miscellaneous electronics equipment. These are the items supplied by Madruga which "completed" the M/V Saratoga, making her functional as a tuna seiner. These items were components of the M/V Saratoga as purchased by Saratoga, and as much a part of Saratoga's bargain as the vessel's hull.

There are several important reasons to focus on the product the plaintiff bargained for and purchased rather than on the components – or as here, the partial assemblage of components originally sold to Madruga – that make up that product. First and foremost, this is the most direct and efficient means of preserving the proper role of contract law, by enforcing the industry's "expectancy" that contracts will govern the rights of commercial parties and that risk allocations voluntary undertaken will be respected.

Second, allowing a commercial plaintiff to sue an upstream component manufacturer in tort not only modifies the commercial risks to which the plaintiff agreed, but alters all of the pre-existing agreements reached in the manufacture, distribution, and sale of the product:

> Implicit in the [*economic loss rule*] is the policy judgment that in a commercial context the possibility of an inadequate recovery . . . does not justify permitting a tort recovery that will allow a purchaser to reach back up the production and distribution chain, thereby disrupting the risk allocations that have been worked out in the transactions comprising that chain.

Hininger v. Case Corp., 23 F.3d 124, 127 (5th Cir. 1994), *quoting King v. Hilton-Davis*, 855 F.2d at 1054. *See also, Bocre Leasing Corp. v. General Motors Corp., supra*, 84 N.Y.2d at 689-690, 645 N.E.2d at 1197. Along with this disruption of bargained-for risk allocation comes potentially unlimited liability to downstream users and *their* contract partners depending in some way upon the economic performance of the product. Concern over such indeterminate tort liability was expressed by this Court in *East River*, 476 U.S. at 874, and by the Ninth Circuit below. *Saratoga Fishing*, 69 F.3d at 1445, Appx. 37a. The appropriate focus must therefore be on the subject of the *plaintiff's* bargain, and not upstream to some bargain to which the plaintiff purchaser was not a party.

Third, if a component manufacturer is liable in tort for harm to any product that later incorporates the

component, the economic loss rule becomes meaningless and can seldom, if ever, be applied in practice.[25]

As the Ninth Circuit observed in this case, "Seldom does one company design and build all component parts for an integrated product such as a fishing vessel." 69 F.3d at 1446, Appx. 38a. The Court in *East River* also voiced this concern:

> Since all but the very simplest of machines have component parts, . . . a holding [permitting recovery in tort for one component damaging one or more other components] would require a finding of "property damage" in virtually every case where a product damages itself. Such a holding would eliminate the distinction between warranty and strict liability.

476 U.S. at 867, *quoting Northern Power & Engineering Corp. v. Caterpillar Tractor Co.*, 623 P.2d at 330 (Alaska 1981).

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[25] This scenario is opposite the situation at bar, where a component of the initial assemblage caused damage to later-added components that were part of the "complete package" purchased by Saratoga. Under the regime advanced by Saratoga, if the reverse were true, a manufacturer of a small component part included as part of the purchaser's bargain (but not as part of the "original sale") could be liable in tort for loss of the entire vessel, which would be viewed as "other property" in relation to the component. Potentially, under tort principles the component supplier could also be liable for all of the economic losses, including lost profits, stemming from damage to the other property. The result would be the indefinite liability and difficulty in planning business behavior. The solution is to permit only contract recovery for damage to the "object of the bargain" without creating exceptions for certain components or resale situations.

Saratoga bargained for and purchased the M/V Saratoga as a complete, integrated package. The loss of items that were part of the integrated package bought by Saratoga is simply the loss of the benefit of Saratoga's bargain. Saratoga purchased the M/V Saratoga "as is, where is," and thereby accepted the risk that the vessel would fail in whole or in part to meet Saratoga's expectations.[26] Fourteen years before the M/V Saratoga sank, Martinac, Marco and Madruga entered into commercial agreements for products which became components of the integrated package later purchased by Saratoga. Each actor allocated risk of loss for product failure in their respective agreements. Saratoga now seeks to upset that allocation. The voluntary allocations of risk by which all parties planned their business behavior should not be nullified by the fortuity of a subsequent commercial sale of the "completed package" by Madruga to Saratoga.

[26] As a prudent commercial actor, Saratoga purchased the vessel without warranty, electing instead to procure insurance against the risk of loss. Saratoga insured the entire vessel, not just the newer components, and undoubtedly Saratoga's insurer did not distinguish between what Martinac originally sold, and what Saratoga initially bought from Madruga, and what Saratoga later acquired from other sources.

D. Saratoga's assertion that the appropriate legal analysis focuses on the first § 402A "product" sold is grounded in misconstruction of the relevant cases, mischaracterization of the relevant facts, and if applied will frustrate the goal of contract-driven predictability in maritime commerce.

Initially, Saratoga misinterprets *East River* as defining "the product" (for which Saratoga concedes tort damages are unavailable) as whatever the manufacturer sold, not what the commercial purchaser bought. In support, Saratoga takes out-of-context language from *East River* regarding inapplicability of the policies underlying tort recovery "when a product injures only itself." 476 U.S. at 871. Saratoga also relies on language in *East River* suggesting there was damage only to discrete components (the turbines) manufactured by defendant Delaval, and references to this damage as being to the "product itself" without clearly indicating whether "the product" meant the component or the completed ship.[27]

In order to side-step the Court's specific attention to the charterers' bargain in sections "C" and "D" of the *East River* opinion, Saratoga asserts that in the "first part" of the opinion the Court "performed its product liability analysis to determine the identity of the product at

[27] There is some ambiguity on this point in *East River*, in that the fifth cause of action apparently claimed damage to a vessel's propulsion system, apart from the turbines themselves. The Court characterized this damage *also* as "injury to the product itself." *East River* at 867. This supports the idea that each finished vessel acquired through bareboat charter constituted "the product itself."

issue," while section "D" addressed the defendant's potential warranty liability. (Petitioner's Brief, p. 22; *Amicus* Brief of All Alaskan Seafoods, Inc., p. 12.) This construction of *East River* makes no sense because there were no warranty claims before the Court. The discussion in section "D" conveys the compelling force of the public policy choice underlying the economic loss rule, and mandates application of the rule even when the plaintiff may lack a contract remedy. 476 U.S. at 875-876.

A major flaw in Saratoga's analysis is the persistent attempt to use tort principles to interpret and apply the economic loss rule, which simply asks, "What was the object of the plaintiff's bargain?" and makes tort damages unavailable to redress loss of that bargain. This flaw is apparent from Saratoga's assertion that the Ninth Circuit erred by "misreading *East River* to import contract analysis into products liability tort law." (Petitioner's Brief, p. 12.) Saratoga has completely missed the point that the economic loss rule serves as a *contract-based* limitation on application of tort principles. The economic loss rule was designed so that strict products liability analysis would *not* apply to commercial cases.

Assuming *arguendo* the efficacy of Saratoga's tort-based approach, Saratoga has overstated both the nature of the Ninth Circuit's decision and the factual context of this case, suggesting that the Ninth Circuit's holding goes far beyond the limited commercial context of the case. Saratoga erroneously asserts that the Ninth Circuit held:

> "[T]he manufacturer's 'product' is defined for strict liability as the object that was last transferred from *any* seller to a buyer, even if the seller, as in this case, is a private person and *not* a 'seller . . . who is engaged in the business of selling such a product' as defined by the Restatement (Second) of Torts, Section 402(1)(a) [*sic*] (Petitioner's Brief, p. 5); and "The Ninth Circuit interpreted *East River* to hold that a downstream sales contract between consumers determines 'the product' . . . " (Petitioner's Brief, p. 13)

This is misleading. The Ninth Circuit was not defining "the product" for strict liability purposes, but was defining the object of Saratoga's bargain for purposes of applying the economic loss rule, and did not purport to make the economic loss rule applicable to consumer transactions. Rather, the relevant sale was between two corporate commercial entities, including a seller that bought, outfitted, operated, and resold a number of multi-million dollar tuna seining vessels, including the M/V Saratoga, at a profit.[28] (Trial Ex. "A", Trial Transcript Vol. X, pp. 72, 74; Trial Ex. "Z", Trial Transcript Vol. VII, pp. 13, 19; FL 1, Appx. 118a; Testimony, Trial Transcript Vol. X, pp. 70-73, 81:17-25.)

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[28] There is no finding in the record as to Madruga's status as a seller, *i.e.*, whether he qualified as a "402A seller," and the issue was never raised or considered previously. The Ninth Circuit noted only that the sale from Madruga to Saratoga was "commercial," and, consistent with *East River*, proceeded to determine the object of Saratoga's bargain. However, as noted *supra*, there is sufficient evidence in the record to support the idea that Madruga was "in the business" of buying and selling multi-million dollar tuna seining vessels, and made a substantial profit on his corporation's sale of the M/V Saratoga. Thus, even under Saratoga's approach "the product" would be everything that Madruga sold to Saratoga.

Consistent with its emphasis on application of *tort* principles, Saratoga argues that the object of the bargain test will abrogate "fundamental products liability principles." Saratoga's argument is illogical. The first supposed "fundamental principle" is that "only commercial sellers, *e.g.*, manufacturers and distributors, not end-users of a product can be held liable for a product's defects." (Petitioner's Brief, p. 13) The implication is that Saratoga, a mere "user," is somehow left without a remedy. This argument is somewhat disingenuous. Although Saratoga purchased the vessel without warranty coverage, Saratoga was fully insured for its loss. The sound public policy enunciated in *East River* establishes the economic loss rule applies irrespective of whether a disappointed commercial purchaser might be left without a direct remedy against the seller. 476 U.S. at 875. Saratoga also asserts that " . . . the 'product' at issue in products liability analysis is the product the manufacturer or distributor placed into the stream of commerce." (Petitioner's Brief, p. 13.) Again, application of the economic loss rule is a function of contract, not an exercise in tort, and therefore determining the "product" for strict liability purposes is irrelevant. Next, Saratoga argues "products liability cannot be disclaimed by warranty." As noted in *East River* at 476 U.S. at 873, n.8, *citing Keystone Aeronautics Corp. v. R. J. Enstrom Corp.*, 499 F.2d 146, 149 (3rd Cir. 1974), this is simply wrong. Finally, Saratoga urges that "[t]he consumer's cause of action does not depend on the validity of his contract with the person from whom he acquires the product. . . . " (Petitioner's Brief, p. 13) While this is true where strict products liability applies, a commercial purchaser cannot escape the reach of the

economic loss rule merely by suing parties further up the chain of distribution in tort, instead of suing the immediate seller solely based on contract.

Saratoga has ignored the goal underlying the economic loss rule: preservation of voluntary risk allocation between parties to a commercial contract. Preservation of the voluntary risk allocation is achieved by permitting only contract remedies for failed commercial contract expectancies. Saratoga's approach of applying tort principles to define "the product" is confusing and conflicts with the purpose of the economic loss rule by allowing tort recovery under *some* circumstances for the loss of *some* of a commercial purchaser's bargain. And sometimes, by fortuity of timing, the purchaser would recover in tort for the vast majority of its bargain, *e.g.*, if the failed component causing loss of the entire product was added just prior to the sale. Such *partial* protection of voluntary risk allocation methods is not consonant with the goals of uniformity and predictability in maritime commerce.

One case refusing to allow tort recovery in a similar situation is *King v. Hilton-Davis*, 855 F.2d 1047 (3d Cir. 1988). In *King*, Hilton-Davis was the manufacturer of a sprout suppressant used to treat seed potatoes. Hilton-Davis sold its product to defendant Kearney, who treated his seed potatoes with the sprout suppressant before selling the completed "seed potato" package to potato farmer King. Mr. King's entire potato crop failed due to ineffective sprout suppression. The Third Circuit refused to permit Mr. King's recovery in tort for the consequent loss of his potato crop:

> As we read *East River,* it is the character of the loss that determines the nature of the available remedies. When loss of the benefit of the bargain is the plaintiff's sole loss, the judgment of the Supreme Court was that the undesirable consequences of affording a tort remedy in addition to a contract-based recovery were sufficient to outweigh the limited interest of the plaintiff in having relief beyond that provided by warranty claims. The relevant bargain in this context is that struck by the plaintiff.

855 F.2d at 1051. The Third Circuit continued at 1052:

> Focusing on the Kings' bargained-for expectations, we hold that the relevant product in this case "injured only itself." The Kings contracted to buy a single integrated product, seed potatoes . . . The Kings lost the expected performance of the seed potatoes, no more and no less. (*Citing Shipco,* 825 F.2d at 928)

Like the Kings, Saratoga purchased a single integrated product: a fully outfitted tuna seining vessel. Saratoga lost the expected performance of the vessel, no more and no less.

E. Saratoga's lost catch of tuna is a consequential economic loss within the economic loss rule, and Saratoga's tort recovery for that loss should be reversed.

Direct loss of the physical object of the purchaser's bargain is the clearest example of a failed contractual expectation which is not compensable in tort. However, the economic loss rule as iterated in *East River,* and interpreted by other courts, extends to *indirect* forms of failed

expectations as well.[29] Even Saratoga concedes "warranty law . . . governs damage to the product itself or *consequential losses* . . . " (Petitioners Brief, p.10.) [*emphasis added*] The Ninth Circuit's decision, insofar as it affirmed the award of tort damages for the "lost catch," is at odds with the policies underlying the economic loss rule. By permitting tort recovery in a commercial case for a loss that is within warranty protection, a conflict between the Fifth and Ninth Circuits has arisen.

East River recognized that a warranty action allows a disappointed purchaser to "seek to recoup the benefit of its bargain," including such indirect losses as forgone business opportunities. (476 U.S. at 868, 873.) One of the factors favoring the Court's adoption of the economic loss rule was the warranty action's "built-in limitation on liability . . . from the agreement of the parties and the requirement that consequential damages, such as lost profits, be a foreseeable result of the breach." 476 U.S. at 874, *citing Hadley v. Baxendale,* 9 Exch. 341, 156 Eng. Rep.

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[29] In a case antedating *East River, Nobility Homes of Texas, Inc. v. Shivers,* 557 S.W.2d 77, 78 n.1 (Tex. 1977) the Texas Supreme Court explained economic losses can be either direct or consequential: "Direct economic loss may be said to encompass damage based on insufficient product value; thus, direct economic loss may be 'out of pocket' – the difference in value between what is given and received – or 'loss of bargain' – the difference between the value of what is received and its value as represented. Direct economic loss also may be measured by costs of replacement and repair. Consequential economic loss includes all indirect loss, such as loss of profits resulting from inability to make use of a defective product." (*quoting* Note, Economic Loss in Products Liability Jurisprudence, 66 Colum.L.Rev. 917, 918 (1966)).

145 (1854). In light of this factor, if the goal is to permit only contract recovery for expectancy losses, then "consequential damages" must fall within the economic loss rule. Otherwise, a commercial seller is exposed to the same indeterminate damages which the economic loss rule seeks to avoid. This Court previously recognized the problem, stating:

> Permitting recovery for all foreseeable claims for purely economic loss could make a manufacturer liable for vast sums. It would be difficult for a manufacturer to take into account the expectations of persons downstream who may encounter its product. In this case, for example, if the charterers – already one step removed from the transaction – were permitted to recover their economic losses, then the companies that subchartered the ships might claim their economic losses from the delays, and the charterers' customers also might claim their economic losses, and so on. "The law does not spread its protection so far." *Robins Dry Dock & Repair Co. v. Flint*, 275 U.S. 303, 309 (1927). *East River*, 476 U.S. at 874.

By excluding the consequential loss of catch from the effect of the economic loss rule, the Ninth Circuit has created the same problem of indeterminate liability discussed above, and the corresponding difficulty in planning business behavior. If Saratoga's "lost catch" is regarded as damage to "other property" compensable in tort, then, but for laches, Respondents may be liable to the tuna cannery for its lost profits and costs, and even to downstream retailers, who expected to make a profit from the M/V Saratoga's tuna catch. And courts dealing

with the economic loss claims of "downstream" commercial actors arising from damaged "other property" would have to engage in the same "murky line drawing" that the Court sought to avoid in *East River*, 476 U.S. at 875.

Other courts, including the Fifth Circuit, have given the economic loss rule the broad effect needed to fulfill its purpose of preserving contract recovery for contract losses, by applying the rule to consequential commercial losses. Instead of mechanically applying a "product itself" versus "other property" analysis, these courts, representing the clear majority view, resolve the issue with reference to the basic contract law inquiry whether the particular loss represents a commercial purchaser's failed contractual expectations. In each of the cases discussed below, the "property" which was found by the court to be "economic loss" was distinct physical property that was *not* acquired by the purchaser as part of the transaction by which the defective product was purchased (which seems to be the hallmark of the rule applied by the Ninth Circuit). In these cases, the damaged "other property" which is deemed to be economic loss was either part of an integrated system with the defective product, property which the defective product was being used to create or process in some way, or property that was naturally used or present in conjunction with the defective product. Each of these situations is analogous to Saratoga's lost fish catch. Each of these cases seems to apply the lesson that consequential contract damages of the type recoverable since *Hadley v. Baxendale, supra*, are not recoverable in tort.

The property in question was part of an integrated system with as was the defective product in *Midwhey*

Powder Co. v. Clayton Industries, 460 N.W.2d 426 (Wis.App. 1990), where the Wisconsin court found that damage to turbines used in conjunction with a defective steam generator was economic loss:

> The turbines were connected to the steam generators as an integral part of a total energy saving system. While a steam generator and a turbine may in other circumstances be sufficiently functionally distinct to be regarded as separate property, under the facts of this case when each is a component of a single system integrally connected to one another as part of an overall apparatus designed to produce electricity, the turbines cease to be separate property. 460 N.W.2d at 429.

Of course, the same logic would apply, not only to the lost tuna catch, but equally to the net, skiff, and other property not part of the original sale by Martinac to Madruga. The point is that damage to commercial property used or present in conjunction with a product that turns out to be defective quite often satisfies the requirements of *Hadley v. Baxendale, supra*, or U.C.C. § 2-715. If the seller had reason to know that his product would be used in a particular application such that its failure could foreseeably damage other property used in conjunction therewith, and the defective product proximately causes the loss, such loss is "consequential damage" recoverable under warranty.

The Minnesota Supreme Court in *Minneapolis Society of Fine Arts v. Parker-Klein Asocs. Architects, Inc.*, 354 N.W.2d 816, 819 (Minn. 1984) held that in a commercial setting, a purchaser of defective brick could not recover damages in tort for the cost of repairing and replacing a

portion of the structure into which the brick had been incorporated. Again, the damaged property was not acquired by the purchaser as part of the brick purchase, and was physically distinct from the defective brick, yet was a consequential economic loss and therefore non-recoverable in tort.

In *Palco Linings, Inc. v. Pavex, Inc.*, 755 F.Supp. 1269, 1275-1276 (M.D.Pa. 1990), the purchaser of a faulty reservoir lining sought tort damages to other parts of its construction work at the reservoir site proximately caused by the defective lining. The court, applying Pennsylvania law, held this damage to plaintiff's separate physical property to be economic loss. The analogy between the lost catch and "work in progress" is obvious. In order to make a profit, Saratoga had to use the vessel to locate, store, preserve, transport, and deliver the tuna in proper condition fit for human consumption. The loss caused by the failure to complete the vessel's intended mission is the quintessential loss of the expected performance of the product purchased by Saratoga.

In the following cases, damage to "other property" which the defective product was being used to create or process was considered economic loss. In *Thofson v. Redex Industries, Inc.*, 433 N.W.2d 901, 903-904 (Minn.App. 1988), the Minnesota Appellate Court held damage to grain caused by a defective grain dryer was economic loss not recoverable in tort, because loss of the grain was the type of damage within the contemplation of the parties to a commercial transaction. In *Purvis v. Consolidated Energy Products Co.*, 674 F.2d 217, 221-223 (4th Cir. 1982) [applying South Carolina law], a case which presaged *East River*, the court refused recovery to plaintiff under a

strict liability theory for damages to his tobacco crop caused by a defective curing barn ventilation system, because such damage was an ordinary commercial risk of product ineffectiveness. The court concluded that the remedy would lie in contract, not tort. In *Holstad v. Southwestern Porcelin, Inc.*, 421 N.W.2d 371, 375 (Minn.App. 1988), the Minnesota Appellate Court rejected tort recovery for economic loss in the form of damage to cattle feed caused by a defective feed storage system; and in *Agristor Leasing v. Guggisberg*, 617 F.Supp. 902, 908 (D.Minn. 1985), another defective animal feed storage system caused damage to feed and related lost milk production from cows. Claims for both types of damage were rejected as economic loss. Finally, in *Earl Brace & Sons v. Ciba-Geigy Corp.*, 708 F.Supp. 708, 711 (W.D.Pa. 1989) a farmer's crop was destroyed by defective herbicide purchased by the plaintiff to protect his crop from weeds. Although the defendant seller had effectively disclaimed any warranty liability, the court, applying Pennsylvania law, denied tort recovery.

Two Fifth Circuit cases are in accord with the above cases to the extent they refuse to consider separate property belonging to a plaintiff commercial product user "other property," apparently preferring instead to classify damage to cargo as economic loss. As such, these cases conflict directly with the Ninth Circuit's decision below. In *Louis Dreyfus Corp. v. 27,946 Long Tons of Corn*, 830 F.2d 1321 (5th Cir. 1987), the plaintiff charterer brought an action for damage to cargo caused by flooding as a result of a defective seawater valve. The Fifth Circuit dismissed the argument that the cargo constituted recoverable "other property" under *East River* as "meritless," 830 F.2d

1328, n.5, and reached the same conclusion a few years later in *Employers Ins. of Wausau v. Suwannee River Spa Lines, Inc.*, 866 F.2d 752, 763 n.16 (5th Cir. 1989). Although neither case provides an explanation, the result in each is perfectly consistent with the idea that because damage to cargo is something naturally to be expected when products such as a vessel or its systems fail, and because such loss is a consequential loss susceptible of warranty recovery, no tort recovery is available. The Fifth Circuit's comfort with this principle is also demonstrated in *Petroleum Helicopters, Inc. v. Avco Corp., supra*, 930 F.2d at 391-393, where defective helicopter floats caused the loss of a helicopter purchased by the plaintiff in a separate transaction. Although the lost helicopter was separate property belonging to plaintiff, and "physically distinct" from the floats, it was correctly regarded as economic loss because the loss of a helicopter was *precisely* the kind of damage one would expect from failure of the floats.

Saratoga's lost tuna catch is qualitatively no different than any of the damaged items of property which the above cases found to be economic loss. The ability to find, catch, preserve, transport, and deliver a catch of tuna was the essence of Saratoga's bargain. Certainly it was within the contemplation of Madruga, as seller, and Saratoga, as purchaser, that if the vessel failed to perform as anticipated, then Saratoga's ability to deliver and sell a catch of tuna for a profit would be defeated. Without question, loss of the catch in this case is a commercial, consequential economic loss for which tort recovery is not permitted.

Finally, it is undisputed that lost profits constitute economic loss for which no tort recovery is allowed.

Petitioner's Brief, p. 8. It is also undisputed that the District Court, for purposes of calculating damages for the lost catch, treated this loss exactly like a lost profits calculation – by utilizing the price that the cannery *would have paid* for the catch, and deducting the expenses that would have been incurred in transporting the catch to the cannery. (FD 9, Appx. 178a, 179a.) The Ninth Circuit approved of the District Court's *de facto* treatment of the lost fish catch as lost profits for purposes of calculating the damages (Appx. 36a.). Under the circumstances, the lost catch of tuna should be recognized as the equivalent of lost profits not recoverable in tort.

VI. CONCLUSION

The Ninth Circuit correctly applied the "object of the bargain" test to determine that everything part and parcel to Saratoga's purchase of the M/V Saratoga was economic loss not recoverable in tort. Saratoga purchased an integrated, full outfitted vessel, "as is" and without warranties. The risk shifting method which Saratoga elected to apply was the purchase of insurance. This bargained-for allocation of risk, and the bargained-for risk allocations of all commercial actors "upstream" from Saratoga should be left unmolested.

The "economic loss" rule applied by the "object-of-the-bargain" test serve the goal of preserving contracted-for risk allocations using the contract approach of examining the plaintiff purchaser's bargain, and declaring that bargain to be off-limits to tort recovery. Saratoga's proposed rule will not effectively protect commercial risk allocations, because it arbitrarily defines "the product"

according to tort precepts, without reference to the plaintiff purchaser's bargain. Thus, Saratoga seeks to have this Court announce a rule which involves a tort analysis to *disregard* the contractual allocation of commercial risk between commercial entities.

The Ninth Circuit erred by an incomplete application of the economic loss rule in affirming a tort recovery for the lost tuna catch. The lost catch is the equivalent of lost profits, or work in progress, and clearly represents the ultimate failure of the product in this case to fulfill its primary mission. Saratoga lost the anticipated performance of the M/V Saratoga, no more and no less. The common law cases that have considered analogous losses have correctly precluded tort recovery, as does the Fifth Circuit.

For the foregoing reasons, the Court should affirm the decision of the Ninth Circuit reversing the District Court's award of damages for loss of the net, skiff, fuel and other equipment aboard the M/V Saratoga, and reverse that portion of the decision of the Ninth Circuit which affirmed the award of consequential lost profits from the fish aboard the vessel.

Respectfully submitted,

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